Financial Literacy

Volume 1 — Core Concepts: Income, Expenses, Assets, Liabilities & Net Worth

What is Financial Literacy?

Financial literacy is the ability to understand and effectively use various financial skills, including personal financial management, budgeting, and investing. A financially literate person can make informed money decisions, avoid predatory financial products, build wealth steadily, and plan for life events like retirement, education, or homeownership. Studies show that higher financial literacy strongly correlates with better retirement preparedness, lower debt levels, and greater overall wealth accumulation.

1. Understanding Income

Income is money received regularly from work, business, or investments. Understanding the different types of income helps you plan taxes, savings, and financial goals more effectively.

Types of Income:

Income Type	Description	Examples
Active Income	Earned by working; stops if you stop working	Salary, hourly wages, freelance fees
Passive Income	Earned with minimal ongoing effort	Rental income, dividends, royalties
Portfolio Income	Earned from investments	Capital gains, stock dividends, bond interest
Government Income	Benefits or entitlements	Social Security, pension, unemployment

Important Distinction: Always base your financial planning on net income (take-home pay after taxes and deductions), NOT gross income. Planning on gross income leads to consistent shortfalls.

2. Understanding Expenses

Expenses are the costs you incur in day-to-day life. Properly classifying expenses allows you to identify which are flexible and which must be paid no matter what.

- Fixed Expenses: Stay the same each month. Examples: rent, mortgage, car payment, insurance premiums. Hard to reduce quickly but offer stability.
- Variable Expenses: Change month to month based on usage or choices. Examples: groceries, utilities, fuel, dining. Easier to reduce with intentional choices.
- Discretionary Expenses: Non-essential spending on lifestyle and wants. Examples: subscriptions, hobbies, dining out, shopping. First place to cut when needed.
- Periodic Expenses: Occur infrequently (quarterly, annually). Examples: car registration, insurance annual premium, holiday gifts. Must be planned in advance to avoid disrupting monthly budgets.

3. Assets vs. Liabilities — The Wealth Formula

Robert Kiyosaki's famous insight: 'Rich people acquire assets. Poor people acquire liabilities they think are assets.' Understanding this distinction is fundamental to building wealth.

Assets — Things That Put Money IN Your Pocket:

• Stocks and index funds that pay dividends or grow in value.

• Rental properties that generate positive monthly cash flow.

• Bonds that pay regular interest income.

• A business that generates profit without requiring all your time.

• Intellectual property (books, music, patents) that generates royalties.

Liabilities — Things That Take Money OUT of Your Pocket:

• Mortgage (the debt portion, not the equity): Monthly payments required.

• Car loans: Monthly payment on a depreciating asset.

• Credit card debt: High-interest liability that grows if not paid.

• Student loans: Monthly obligations that reduce investable income.

• Buy-now-pay-later schemes: Hidden liabilities that accumulate quickly.

Common Misconception: Your personal home is NOT purely an asset — it is a mixed liability/asset. While it may appreciate in value, it requires mortgage payments, taxes, maintenance, and insurance that cost money monthly. It only becomes a pure asset when generating rental income or sold at profit.

4. Net Worth — Your Financial Scoreboard

Net worth is the single most important number in personal finance. It tells you where you truly stand financially by comparing everything you own against everything you owe.

Formula: Net Worth = Total Assets - Total Liabilities

• Calculate your total assets: Add up cash, investments, property value, retirement accounts, and valuable possessions.

• Calculate your total liabilities: Add up all debts — mortgage balance, car loans, student loans, credit card balances.

• Subtract liabilities from assets to get your current net worth.

• Track net worth monthly or quarterly to measure progress. Growing net worth = financial progress.

• At age 30, a general benchmark is net worth of 1x your annual income. By 40, aim for 3x annual income.